

ORIGINAL

(S E R V E D)
(March 7, 2002)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

March 7, 2002

DOCKET NO. 96-14

COMPANIA SUD AMERICANA DE VAPORES S.A.

v.

INTER-AMERICAN FREIGHT CONFERENCE, ET AL.

**SETTLEMENT APPROVED;
COMPLAINT DISMISSED WITH PREJUDICE**

Complainant Compania Sud Americana De Vapores S.A. ("CSAV") and Respondents A.P. Moller-Maersk Sealand, Hamburg-Sudaerikanische Dampfschiffahrts KG and Crowley Liner Services, Inc. ("Carriers") have reached agreement to settle this proceeding and have jointly requested that I approve their agreement and dismiss this proceeding. Their request is carefully explained, well supported by authorities and fully meets the Commission's criteria for approval of settlement agreements in Commission proceedings. Accordingly, as explained below, the settlement

agreement is approved pursuant to 46 C.F.R. 502.91(b) and the proceeding is dismissed pursuant to 46 C.F.R. 502.147(c), subject to Commission review pursuant to 46 C.F.R. 502.227(c).

Procedural History

On July 30, 1996, CSAV tiled its FMC complaint against the Respondents, alleging violations of sections 10(a)(2) and 10(a)(3) of the Shipping Act of 1984, 46 U.S.C. §§ 1709(a)(2) and (a)(3) ("1984 Act"). The complaint alleged, in pertinent part, that Respondents violated the Agreement of the Inter-American Freight Conference ("IAFC") by charging CSAV's letter of credit in the amount of \$32,924.57 to pay dissolution costs of the Sociedade Brasileira de Administracao de Conferencias de Frete ("Sobracon"). The Carriers, as well as several now-defunct carriers, were members of Section C of the IAFC. Sobracon, the administrator of Section C, was owned by several of Section C's members. Payment was drawn from CSAV's \$50,000.00 irrevocable letter of credit, which it supplied the IAFC upon joining it in March 1995, pursuant to Clause 15.05 of the IAFC Agreement. CSAV protested the charge, commenced this proceeding and requested the following relief: \$33,124.57 in damages, as well as interest, filing fees, costs and attorney's fees; a cease and desist order; an order prohibiting the IAFC from charging any of the reparations or costs awarded in this proceeding to CSAV; and such further orders as the Commission determined to be proper.

In lieu of filing an answer to the complaint, Respondents moved for dismissal on the ground that the complaint failed to state a cause of action upon which relief could be granted. In the alternative, Respondents moved for summary judgment on the grounds that the IAFC Agreement authorized them to appoint Sobracon to perform administrative duties for Section C, to apportion Sobracon's expenses equally among members of Section C, and to draw upon CSAV's letter of credit if CSAV refused to share in Sobracon's winding-up expenses.

On March 6, 1997, the Presiding Officer granted the Respondents' motion for summary judgment on the ground that the IAFC Agreement entitled the IAFC to charge CSAV for a share of Sobracon's dissolution costs under an interstitial agreement, to which CSAV automatically became a party as an IAFC member. CSAV appealed to the Commission on the grounds that it was not a party to an agreement to form, operate or pay the dissolution expenses of Sobracon and, in any event, Sobracon's employment as administrator of Section C violated Article 6.01 of the Agreement (Initial Decision at 71-74). On March 19, 1998, the Commission issued a Report and Order ("Report and Order"), which found a violation of section 10(a)(2) of the 1984 Shipping Act on the ground that "the agreements or understandings of the IAFC member lines as to the disposition of Sobracon did not concern routine matters, but instead concerned matters required to be filed under the terms of the Commission's regulations (Report and Order at 26)." On April 20, 1998, the Respondents served a petition for reconsideration and several maritime organizations also filed a motion for leave to file an *amicus curiae* brief in support of the Respondents' petition. On December 12, 2001, the Commission issued an Order denying the petition for reconsideration and the motion for leave to file an *amicus curiae* brief.

Reasonableness Of The Settlement Agreement

Under the terms of the settlement agreement, which is annexed to this ruling, none of the parties admit to liability, they agree to execute mutual releases and the Carriers agree to pay CSAV the sum of \$32,900.00 within five (5) business days of the final approval of this settlement by the Commission in full satisfaction of all claims in Docket No. 96-14. The parties further represent that, while the petition for reconsideration was pending before the Commission, the IAFC and AFC Section C were dissolved and "many of the ocean common carriers named as Respondents were merged with or acquired by other entities or otherwise ceased to exist" (Settlement Agreement at 1).

The Commission, like the courts, strongly encourages settlements and, absent any showing that they contravene any law or public policy, presumes that they are just and reasonable, although not acting as a mere rubber stamp. See, e.g., *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 505, 512-515 (1978) (18 S.R.R. 1085, 1091-1095); *Great White Fleet v. Southeastern Paper Products, Inc.*, 26 S.R.R. 1487, 1488-1490 (1994); *Jorge Vilela, et al.*, 24 S.R.R. 1098, 1101-1102 (1988).

The Commission's rules of procedure have long provided for settlements in keeping with the encouragement of the Administrative Procedure Act to facilitate settlements. See, e.g., 46 C.F.R. 502.91(a); 502.94(a)(1); 5 U.S.C. § 554(c)(1). I find nothing objectionable in the settlement agreement, that is, nothing that would contravene any law or public policy. The moving papers thoroughly discuss the merits of the parties' positions, as well as their mutual desire to avoid the time, expense and potential risk of further litigation. What is more important, the payment of the sum of \$32,900.00 by the Carriers to CSAV is consistent with the Commission's Order of March 19, 1998 remanding this proceeding to the Chief Administrative Law Judge for a determination of the reparations due CSAV.

Based on the foregoing, the complaint is dismissed with prejudice and the settlement agreement is approved, subject to the review of this ruling by the Commission pursuant to 46 C.F.R. 502.227(c).

A handwritten signature in black ink, appearing to read "Michael A. Rosas".

Michael A. Rosas
Administrative Law Judge

SETTLEMENT AGREEMENT

This settlement agreement (the "Agreement") is entered into this 4th day of March, 2002, by **Compañia** Sud Americana de Vapores S.A. ("CSAV"), on the one hand, and A.P. Moller-Maersk **Sealand**, Hamburg-Sudamerikanische Darnpfschiffahrtsgesellschaft KG and Crowley Liner Services, Inc. (the "Carriers"), on the other hand.

W I T N E S S E T H:

WHEREAS, CSAV filed a complaint against the Inter-American Freight Conference, Inter-American Freight Conference Section C, and the ocean common carriers members of the Inter-American Freight Conference on or about July 26, 1996 (collectively referred to as "Respondents"), which complaint was assigned Docket No. 96- 14 by the Federal Maritime Commission; and

WHEREAS, the complaint alleged that Respondents violated the Agreement of the Inter-American Freight Conference by charging CSAV's letter of credit for the amount of **\$32,927.57** to pay dissolution costs of Sociedade Brasileira de Administracao de Conferencias de Frete (hereinafter "Sobracon");

WHEREAS, Respondents' Motion for Summary Judgment was granted by the administrative law judge to whom Docket No. 96-14 had been assigned on or about March 6, 1997; and

WHEREAS, CSAV appealed that decision to the Federal Maritime Commission, which overturned the decision of the administrative law judge and granted summary judgment in favor of CSAV on or about March 19, 1998; and

WHEREAS, Respondents petitioned the FMC for reconsideration of its decision on or about April 20, 1998, and that request was denied by the FMC on December 12, 2001 and the case remanded to an administrative law judge; and

WHEREAS, the Inter-American Freight Conference and Inter-American Freight Conference Section C were dissolved while the petition for reconsideration was pending before the Commission; and

WHEREAS, many of the ocean common carriers named as Respondents were merged with or acquired by other entities or otherwise ceased to exist while the petition for reconsideration was pending before the Commission; and

WHEREAS, both CSAV and the Carriers are cognizant of the time, expense and potential risk inherent in any further litigation and wish to resolve the dispute which is the subject of Docket No. 96-14 without resorting to further litigation;

IN WITNESS WHEREOF, the parties have executed this Agreement as of the day and year first written above.

COMPANIA SUD AMERICANA
DE VAPORES S.A.

Walter H. Lion

By:
Name: Walter H. Lion
Title: Attorney

A.P. MOLLER-MAERSK SEALAND

Wayne R. Rennie

By:
Name: WAYNE R. RENNIE
Title: ATTORNEY-IN-FACT

HAMBURG SUDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-
GESELLSCHAFT KG

Wayne R. Rennie

By:
Name: WAYNE R. RENNIE
Title: ATTORNEY-IN-FACT

CROWLEY LINER SERVICES, INC.

Wayne R. Rennie

By:
Name: WAYNE R. RENNIE
Title: ATTORNEY-IN-FACT